Key focus and themes

Global Markets Research
31 July 2026

Foreign Exchange - Asia ex-Japan/Euro Area/Europe

Less USD supportive factors; higher convictions on long CNH and short IDR

What minimum gain in the upcoming July NFP (released on 7 August; consensus ~88K) will be required to see a break HIGHER in the broad USD (DXY)?

1. *~55k*
2. *~100k*
3. *~150k*
4. *200k or more*

- We see an increasing risk of the USD losing its upward momentum after the July FOMC meeting. Factors include near-term US macro/policy outlook, Fed credibility, tech/AI-related risks slowing US equity inflows and long USD positioning/Japan FX actions. Trump may also limit the risk of a US-Iran conflict escalating, while the sensitivity of DXY to higher oil prices has fallen.
- **Asia FX**: We raised the conviction levels on our long SGD/IDR and short USD/CNH positions to 4/5 on 27 and 30 July, respectively. We remain long EUR/INR and short USD/THB (both at 3/5).
- **G10 FX:** We enter long EUR/JPY (conviction level 3/5) after MOF intervention, despite the BOJ's hawkish rhetoric, as we still believe JPY fundamentals have not materially changed. We also stay short GBP/NZD (3/5) with the BoE remaining dovish and long EUR/CAD (3/5), as euro area data continue their resurgence.
- **Asia rates:** We maintain a relatively high conviction level (4/5) on our pay Sep-5y THB rates. Elsewhere, we like a Dec-1s4s Korea NDIRS steepener and pay Sep-3y China NDIRS, both with conviction levels of 3/5.

Fig. 1: Top five top conviction strategy trades in order (scale 1-5)

Top 5 FX and Rates Trades

Countries	Trade	bp move from start	bp move from current	Target	Timeline	Conviction (0-5) Curr (Prev)
	Long SGD/IDR	100	300	14,460	End-Oct	4 (3)
	Short USD/CNH	40	290	6.55	End-Oct	4 (3)
	Pay Sep-IMM 5y THB rates	-3	24	2.00%	Mid-Sep	4 (3)
	Short GBP/NZD	200	180	2.25	End-Sep	3 (4)
	Long EUR/CAD	55	250	1.655	End-Sep	3

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 - Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura.

The conclusion of the July FOMC meeting has alleviated some of our concerns over continued upside USD momentum. We maintain our *medium-term view* of a softer USD,

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and we also see less supportive factors for the USD in the coming weeks including:

- **The US macro/policy outlook may not justify the relatively high hike pricing for the 15 September FOMC meeting** (i.e, 66% likelihood of a 25bp hike). Our economics team *highlights* that: a) Fed Chair Warsh's press conference was dovish as he suggested that higher market interest rates could obviate the need for Fed tightening; b) we continue to hold the view of no change in Fed policy through to end-2027 and; c) easing US inflation momentum may continue (note June core PCE undershoot at 0.1% m-o-m; consensus 0.2%; 0.3% previous).

  We believe that inflation remains key, with no surprises (at least for now) expected for the next July core CPI release (12 August; Nomura forecasts +0.22% m-o-m). The market will also focus on the US July NFP report (7 August; consensus currently: +88K), which is likely to see a temporary boost from the 2026 FIFA World Cup. Without a significant upside surprise (in our view, closer towards +200K), we do not expect the NFP release to have much impact on near-term Fed pricing, as the market already has the view of a strong US economy. However, a significant downside NFP surprise (closer towards zero or below) could have a larger market impact, with it likely to reduce near-term Fed hike pricing.

- **The theme of the Fed losing credibility/independence is building** (remains a medium-term risk in our view), with media outlets (*CNBC*, *Straits Times*, etc, 30 July), as well as our client conversations (highlighting the steepening of the US Treasury curve) suggesting that Chair Warsh/the Fed's credibility is in question after keeping rates unchanged. There remain concerns that the Trump administration will continue to influence Fed officials and continue to attempt to remove Fed board members Powell and Cook. We believe there is a risk that if Fed credibility concerns build, it will *adversely affect USD/US assets*.

- **We are monitoring tech/AI-related risks and especially if the market focuses more on downside US equity risk**. Our measure of *foreign inflows into US-focused funds* (US ETFs and mutual funds) has shown *strong inflows* into US equities in MTD July (until 30 July), following strong inflows in June 2026 (DXY strengthened in both months; levels of inflows similar to US exceptionalism period of 2024). We are watching out for whether the momentum of foreign inflows into US equities will slow if US tech/AI concerns intensify (not just around AI capital expenditure, private credit to the AI sector, but also the growing competitive pressures from China).

- **Long USD positioning that risks being unwound by investors**. This is reflected in *our measures* from net non-commercial positioning on the USD (i.e., at 2.5SD over past 5-years), Nomura's survey on client positioning (i.e., USD positioning last at +1.0 on scale of +/-5), and our CTA positioning indicators (i.e., CTA's are mainly long USDs against EUR and CAD in G10). **Japan's BoJ/MoF *potential* FX intervention** (on 30 July and 31 July) is likely to have reduced market's short JPY positioning and could hurt the near-term upside momentum in USD/JPY – even though we believe FX intervention by itself may not break the uptrend in USDJPY in the weeks ahead without a more significant change in the USD outlook (towards weakness) or a shift in domestic policy.

- **Watching US-Iran developments; Trump is likely to contain severe escalation risk; reduced FX sensitivity**. Risks of a further escalation between the US and Iran remain (news of some tit-for-tat; *US Central Command*, 30 July), but we believe Trump wants to avoid a severe negative outcome (such as closure of the Strait of Hormuz, Bab el Mandeb Strait and broader regional attacks in the Gulf). We still believe *there will be a de-escalation* when market pressures build and this was last observed (starting from 24 July; Brent crude over USD100p/b), when Trump was reported (*Axios*, 25 July) to have directed a freeze on US military strikes, followed by Trump's comment that the US was "talking to [the Iranians] right now" (*Guardian*, 27 July).

- **Reduced sensitivity of FX markets to rising oil prices.** This could be due to several factors such as the view that Trump tends to pull-back when market pressures build, speculative long USD positioning has been built and that some of the countries vulnerable to energy supply shocks (e.g., Australia, India and the Philippines) still have adequate reserves. Specifically, the DXY's sensitivity to significant gains in Brent crude oil since the start of the US-Iran war has fallen. From 27 February to 31 March, the 63% rise in Brent crude oil price saw DXY rise 3% over the same period. In the most recent period, the Brent crude price rose from 1 July to 23 July (+41%), which corresponded with DXY remaining almost unchanged.

Overall in FX strategy, we have raised the conviction level on our short USD/CNH position to 4/5; we remain long SGD/IDR (4/5), long EUR/INR (3/5) and short USD/THB (3/5). In **G10 FX**, we raise the conviction level on our long EUR/JPY to 3/5 (from 2; targeting 191 by end-September). We also opened a long EUR/CAD position (3/5; on 29 July) and retain short GBP/NZD (3/5). In **Asia rates strategy**, we raised the conviction level on our pay Sep-5y THB rates position to 4/5 (from 3), maintain a Dec-1s4s Korea NDIRS steepener (3/5) and pay Sep-3Y China NDIRS (3/5).

Asia FX strategy

In **Indonesia**, following the *shock resignation* of BI governor Perry Warjiyo, we **raised (on *27 July*) the conviction level on our long SGD/IDR position to 4/5** (from 3), targeting 14,460 (~4% gains) by end-October. We expect IDR underperformance to resume because: 1) **Warjiyo's unexpected resignation raises concerns over BI independence and policy credibility**. Although Senior Deputy Governor Damayanti's taking on the acting Governor role will be positive for continuity in monetary policy, this is likely to be temporary as President Prabowo will still nominate a permanent replacement to parliament, which will only **return from recess on 14 August**. Owing to Prabowo's tendency to appoint loyalists to key governmental and SOE positions (e.g., new Free Meals program Head Sudaryono from the president's Gerindra party and with a military background), this is a significant source of risk to market perceptions of BI independence and policy credibility, which might increase BoP outflows; 2) **the eventual appointment of a new BI governor might also lead to a more dovish and more "pro-growth" BI stance**. At an event on 30 July, Prabowo emphasized the importance of cooperation between the government, BI and all state-owned banks, emphasizing that all these institutions are "one team" (*Detik Finance*, 31 July). If the market believes the next BI governor will take an even more dovish and pro-growth stance to cooperate with the government, we believe negative pressures on the IDR might intensify again; 3) **greater political and policy interference in the private sector remains a significant risk for investor sentiment**. Besides the potential centralisation of commodity exports, other examples of greater government interference include the abrupt *establishment* of Danantara in 2025, and the government taking control over private forestry and mining assets on allegations of irregularities (*Bloomberg*, 5 January); 4) **Indonesia's weakening fiscal outlook**. We will monitor parliament's **discussions on the State Finance omnibus bill,** when the next session of parliament opens on 14 August, as well as the **announcement of the 2027 state budget draft,** to be delivered just before the 17 August Independence Day; and 5) **the change in BI leadership also increases the risk of sovereign credit rating actions by Fitch and Moody's**. Notably, **Fitch Ratings** said (*Bloomberg*, 27 July) that it believes BI's leadership changes "could continue to weigh on rupiah stability, raise the government's borrowing costs and erode external buffers".

Briefly, in **Singapore**, we believe **SGD should continue to outperform** amid robust local fundamentals, supported by the MAS's policy setting of an appreciating S$NEER. Notably on 27 July, the MAS *announced* that it will "increase the rate of appreciation of the [S$NEER] policy band **very slightly**", for which we estimate to be an increment of 0.25pp, bringing the slope to +1.25% annualised. The MAS' next policy move remains data (i.e., on core CPI and growth) and event dependent (i.e., global AI capex, the Middle East conflict) and a further FX policy tightening might emerge if there is evidence of an intensification of inflation pressures. Otherwise, with the policy stance likely to be mildly restrictive, the MAS might remain on hold if there are no significant upward growth and inflation surprises.

In **China**, we **raised (on *30 July*) the conviction level on our short USD/CNH position to 4/5** (from 3), targeting 6.55 (~3.0% gain) by end-October. In addition to potentially less supportive factors for USD in coming weeks (see above), local developments should support our CNH appreciation view. These include: 1) **a relatively clear downtrend in the USD/CNY fixing**; 2) **our analysis also shows a tendency for higher sensitivity of USD/CNH to down moves in DXY** than moves higher, since the start of 2026; 3) **we believe strong support for RMB remains amid robust onshore Chinese corporate FX**

repatriation. We expect this to remain strong amid still-elevated *export growth*, a strong trade surplus and expectations for RMB appreciation; 4) **a stabilisation of foreign flows into Chinese equity markets**. Since 16 July, we have observed a stabilisation of foreign flows in our tracking of China-focused equity ETFs at close to zero (i.e., -USD237mn over nine sessions to 30 July), despite the selloff in broad China equity markets; 5) **stable US-China relations heading into the Trump-Xi Summit in September**. Recent evidence includes China looking past the Trump administration's *announcement* of Section 301 tariffs to replace expiring Section 122 universal 10% tariffs, Trump's relatively restrained response that he would be "disappointed" if China provided weapons to Iran (*Bloomberg*, 29 July); 6) **the July China Politburo meeting explicitly called for *more balanced trade developments***. Arguably, one way to achieve this is through adjustment of RMB's substantial undervaluation; 7) **a lack of transparency on official FX intervention could again become a political issue**. In its latest semi-annual FX report, the US Treasury noted that the lack of transparency could lead to the US Treasury designating China as an FX manipulator, if it assesses that China is "intervening through formal and informal channels to resist RMB appreciation in the future" (*US Treasury*, 29 July). **Risks** to our trade include: a) an escalation of the US-Iran conflict that feeds into surging global energy prices; b) any upcoming key US data surprise to the upside and leads to a rapid rise in Fed hike expectations; c) a potential retaliation from China, if the US sanctions Chinese AI companies, which could derail the Trump-Xi Summit; and d) potential PBoC's FX action to slow RMB appreciation.

In **India**, we maintain the conviction level on our ***long EUR/INR*** **position** at 3/5, targeting a move to 113 (~4% gains) by end-September. The focus will be on the RBI policy meeting on 5 August, where our economics team expects the RBI to keep the policy rate *steady* – market is pricing in ~7bp of hikes for this meeting. We continue to hold an INR underperformance vs. EUR view because: 1) **we believe that in a weaker USD environment, the RBI will likely step back from supporting INR**. We have observed evidence of this over the past week. Media reports (*Bloomberg*, 28 and 30 July), market price action and our conversation with market participants suggested that the RBI had intervened in the three trading sessions between 24 and 28 July to support INR, when broad DXY was relatively stable. However, **when broad USD turned weak from 29 July** (i.e., on a dovish FOMC and potential Japan MOF FX intervention), there were **no obvious indications of RBI FX intervention**; 2) **our core view is that the RBI will likely be cautious about utilizing the FCNR(B)-related inflows to support INR**, owing to its already large net short USD forward book (i.e., -USD106.6bn as of end-May 2026) and the RBI's significant *drainage* n FX reserves. In the five weeks to 24 July, we estimate that the RBI net accumulated USD13.8bn of spot FX reserves, suggesting some inflows from the FCNR(B) scheme. Nonetheless, spot USD/INR still rose by 2.4% over the same period. RBI Governor Malhotra recently commented that (*The Indian Express*, 27 July) "banks have mobilised almost $32 billion. Obviously, most of it is coming through FCNR(B) deposits"; 3) **Brent oil prices have risen from recent lows and could worsen India's *current account deficit***. Our economists expect a CA deficit of 1.2% of GDP for FY27 and see some risks of the CA deteriorating further on higher oil prices; and 4) **portfolio flows into India have deteriorated over the past week**, with net outflows of USD439mn (bond + equity) over the last five sessions.

In **Thailand,** we maintain the conviction level on our *short USD/THB* position at 3/5, targeting a move to 32.0 (~4% gains) by end-September, with a stop at 33.9 (i.e., 2% from entry). THB was one of the underperforming AeJ currencies over the past week owing to a report (*Axios*, 25 July) that Trump was directing the US military to put a freeze on US strikes on Iran, the Fed Chair Warsh's *dovish* press conference and *potential* FX intervention by Japan's MOF. We remain cautiously optimistic that THB will appreciate against USD in the coming months because: 1) **the outcome of the July FOMC meeting *alleviates* some of our concerns over continued USD strength** (see above). Furthermore, the US macro/policy outlook in the near term, simmering concerns over the Fed's independence, the market's long USD positioning and AI overinvestment risks are also factors that could reduce support for USD. Owing to USD/THB's sensitivity to broad USD moves, there is scope for some THB appreciation if USD weakness continues; 2) **foreign tourist arrivals appear to be tracking a seasonal improvement so far**. High-frequency data from the Thailand Tourism and Sports Ministry showed that 584k foreign tourists arrived in Thailand for the week ended 25 July, unchanged from the previous week, and in line with the seasonal improvement from June; 3) **the BOT appears to be more concerned with THB underperformance now**. Based on the weekly FX reserve data, we estimate that the BOT net sold a large USD3.3bn of FX reserves (spot and forwards) for the week ended 24 July, as USD/THB remained broadly unchanged (+0.2%) over the period; 4) **current account seasonality (including tourism and foreign firms' FX repatriation) should be more supportive to THB**. June's current account deficit was -USD3.5bn, slightly better than the consensus estimate of -USD3.9bn. Our economics team expects the current account to flip from a very large deficit of USD17.7bn in Q2 to a *surplus of USD1.1bn in Q3*, partly due to seasonal factors; and 5) **foreign portfolio inflows have held up well**. MTD July, foreign investors have net bought USD0.8bn of Thai portfolio assets (equities: +USD1.3bn; bonds: -USD0.5bn).

Elsewhere, we remove our long EUR/PHP and short USD/TWD positions from our watchlist by lowering the conviction levels on both positions to 0/5.

Fig. 2: Our views on Asia FX

1	2	3	4	5
Watch	Watch Closely	Positioned @ 1/3 desired	Positioned @ 2/3 desired	Positioned @ 100% desired

Asia FX strategy view		Comments/trades
Short USD/CNH	4.0	**Rationale for the trade**: Raise conviction to 4/5 from 3 on 30 July - Dovish FOMC **Target and timeline**: 6.55 by end October (entry: 16 July) **Trade rationale**: Strong FX remittance; fixing drifts lower; RMB internalization effort; Softer US data **Risks to trade**: PBoC FX management risk
Long SGD/IDR	4.0	**Rationale for the trade**: Raise conviction to 4/5 from 3 on 27 July - Governor resign, BI independence **Target and timeline**: 14,460 (~4% gain) by end-October **Trade rationale**: BI independence concerns, governor resign, renewed US-Iran uncertainty; Concerns on fiscal deficits, strong SG macro **Risks to trade**: Reduced fiscal concerns, export proceeds regulations may support IDR, S$NEER trading close to top end
Long EUR/INR	3.0	**Rationale for the trade**: Raise conviction to 3/5 from 2 on 3 July - weak June US NFP **Target and timeline**: 113.0 (~4% gains) by end-September **Trade rationale**: Negative BoP pressure, RBI buy on dip; scope for EUR to reverse sell-off **Risks to trade**: RBI support INR aggressively; sustained USD bid
Long USD/HKD outrights	3.0	**Rationale for the trade**: Lowered conviction to 3/5 on 25 Jul - Softer USD, inflows to HK **Target and timeline**: 7.8 spot at expiry (entry: 8 May; 9M, 12M tenor respectively) **Trade rationale**: USD/HKD peg regime to hold, weak HK dynamics, Trump risks, HKMA liquidity withdrawal, Fed cuts **Risks to trade**: Substantial positive shift in China/HK macro, consistent capital inflows
Short USD/THB	3.0	**Rationale for the trade**: Initiate on 3 July with conviction 3/5 - weak June US NFP, THB current account seasonality in Q3 **Target and timeline**: 32.0 (~4% gain) by end-September (entry: 3 July) **Trade rationale**: Current account seasonality turn positive in Q3; decline in crude price; pick up in tourist arrival; rebound in gold price; gradual CNH appreciation **Risks to trade**: Weak fundamentals, local and foreign outflows; BOT's FX stance; USD bid
Long CNH vs 6FX abridged basket	2.0	**Rationale for the trade**: Lower conviction level to 2/5 from 3 on 16 July - Soft US data **Target and timeline**: - **Trade rationale**: USD/CNY fixing drifting lower; FX remittance; RMB substaintial undervaluation; stable US-China relation **Risks to trade**: PBoC FX management

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 - Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura

G10 FX strategy

Enter long EUR/JPY, targeting 191, despite BOJ Ueda's hawkish rhetoric at the July MPM

At its July policy meeting today, the BOJ provided heightened hawkish signals, followed by another likely intervention by the MOF. However, despite these developments, we recommend entering a long EUR/JPY position after its dip. We enter long EUR/JPY, targeting 191 (entry: 184, stop: 181) by end-September, by raising the conviction level to 3/5 (was 2/5). While Governor Ueda's press conference today surprised markets with more hawkish rhetoric than we had expected, we believe, at this juncture, there are insufficient catalysts for markets to fully price in a September rate hike from current levels (~40% probability). The government's expansionary fiscal stance is unlikely to change meaningfully in the near term, especially with Prime Minister Takaichi's tax cut proposal announced this week. These factors reinforce our view that JPY selling pressure will persist until both the government and the BOJ become much more aware of the inflation risk. Additionally, intervention alone is unlikely to change the trend in the currency. Risks to our view will be a) an acceleration of the BOJ's hawkish shift; b) the US Treasury continues to support the MOF's intervention action; and c) yen carry trade unwinds on weak global data.

Stay short GBP/NZD with BoE maintain dovish outlook

GBP/NZD has moved lower again, despite sticky oil prices, as the cyclical angle to our trade has started to play out more clearly. The biggest event of the last few days was *the*

BoE meeting, where rates were left unchanged, though with a seemingly hawkish 6-3 vote (versus 7-2 the last time around). However, the comments were generally skewed in a dovish direction. Governor Andrew Bailey made it clear that the Bank was not "edging towards" a hike, while another potential swing voter, Clare Lombardelli, pointed out that the decision to be hold had not been a close one, when asked by a reporter. Overall, the committee notes the ongoing domestic disinflation process as limiting the risk of second-round effects from energy prices. As such, we still see scope for UK rate pricing to slide further and GBP/NZD to fall further to reflect current rate spreads. Activity data out of New Zealand were also positive, with a bounce in activity surveys to near pre-war levels and another monthly gain in jobs filled. Labour market data due this week, for Q2, from New Zealand will be an important piece of the puzzle for determining how far and fast the RBNZ may move as it continues its hiking cycle.

Long EUR/CAD as euro area data continue their resurgence

We *opened a long EUR/CAD trade* immediately after *the Fed's decision to leave rates unchanged.* We see this pair as having a positive beta to USD weakness, but also note a range of local factors that should help the pair rise. The beta to oil price moves has diminished in recent weeks, giving us some confidence that local developments may start to become more important. Macro and rate divergence relative to FX remains clear. Recent *euro area data have been surprising consistently to the high side*, and Q2 growth was running around trend, despite the challenges of the US-Iran war. Euro area core inflation has been running above 2% y-o-y since September 2021. In Canada, *the ex-food and energy measure of inflation* (comparable to the euro area core measure) has dipped below 2% for the past four months. This is rare and, in our view, should warrant a divergence in the monetary policy approaches. The former is likely to hike further, while there may even be risks of rate cuts from the latter. This is especially true if *recent tariff threats from the US materialise for Canada*. While there have also been comments from President Trump on European Union trade issues, Canada is more directly in the firing line and faces a greater direct economic impact from any meaningful increases in tariffs. EUR/CAD has recently traded weaker than would be expected relative to rate differential moves. Interestingly, this relationship held very well during the prior energy-driven terms-of-trade "shock" to Europe in 2022, and taking a much longer-term view, the overall trends remain intact. The broader backdrop for financial flows appears positive, with neutral carry and portfolio flows starting to favour EUR. Long EUR/CAD could also provide some protection against any downward equity market movements in the summer. August and September present some signs of negative equity seasonality and positive VIX seasonality. We see positioning as more stretched in short EUR than in short CAD. The latter had become a very consensus trade earlier in the summer, as we noted when taking profit on our prior long USD/CAD trade. But the range of measures we track show some narrowing in these positions, even if not a full normalisation.

Fig. 3: Our views on G10 FX

1	2	3	4	5
Watch	Watch Closely	Positioned @ 1/3 desired	Positioned @ 2/3 desired	Positioned @ 100% desired

G10 FX strategy view		Comments/trades
Short GBP/NZD	0 1 2 3 4 5 3 ○ Prev ● Curr	**Rationale for the latest conviction change:** Lowered conviction to 3/5 on increased Middle East tensions **Target and timeline:** 2.25 by end-September (c3.8% from entry at 2.3390) **Trade rationale:** FX looking rich relative rate spreads, monetary policy divergence to become clearer, potential for a shift in positioning in local bond markets **Risks to trade:** Acute risk off move would likely hurt NZD more than GBP, persistence of low vol carry flows into GBP
Long EUR/CAD	0 1 2 3 4 5 3 ○ Prev ● Curr	**Rationale for the latest conviction change:** Open trade on 29 July after Fed meeting, raise to conviction 3/5 **Target and timeline:** 1.6550 by end-September (c3.1% from entry at 1.6060) **Trade rationale:** ECB hikes to continue while BoC is overpriced by markets; portfolio flows more EUR supportive than CAD; tariff risk more elevated for CAD **Risks to trade:** Higher oil prices would support CAD though terms of trade channel
Long EUR/JPY	0 1 2 3 4 5 3 ○ Prev ● Curr	**Rationale for the latest conviction change:** Open trade on 31 July after MOF intervention, raise conviction to 3/5 **Target and timeline:** 191.00 by end-September (c3.8% from entry at 184) **Trade rationale:** 1) FX intervention impact unlikely to be sustained; (2) fiscal policy change not incoming; (3) BOJ unlikely to turn that hawkish versus market pricing **Risks to trade:** More aggressive intervention, especially if coordinated with the US Treasury; much more hawkish BOJ; sizable "risk off" move in markets
Short AUD/NZD	0 1 2 3 4 5 2 ○ Prev ● Curr	**Rationale for the latest conviction change:** Lower conviction level to 2/5 from 3/5 (on 26 June) with limited catalysts playing out in the near term **Target and timeline:** - **Trade rationale:** i) more hawkish RBNZ and rate spreads; ii) relative positioning **Risks to trade:** i) re-escalation of Middle East tensions and higher oil prices; ii) low vol environment supports AUD due to rate differential

Source: Nomura

Asia rates strategy

Korea: Maintain Dec-1s4s steepener with conviction 3/5

Korea rates rallied 10-20bp this week with curve flattening. The weak equity performance in July (despite the rebound in KOSPI today) should reduce the likelihood of aggressive BOK hikes, while market pricing still shows more than four hikes over the next 12 months (Nomura: forecasts three more hikes and a terminal rate of 3.50%). Looking at bond supply, KTB issuance in June and July were much lower than in 2025, especially in the 30y tenor (and we see a risk of smaller-than-planned bond supply for the rest of the year), which should support lower rates in general. However, we also note that offshore bond inflows have slowed in June and July from that in May. Considering higher oil prices, the selloff in long-end US rates and today's strong June IP data, we prefer a **Dec-1s4s steepener (conviction 3/5)** over outright receive at this stage, and we believe market positioning is relatively light in steepeners as well. Watch out for July export (tomorrow) and inflation data (Tuesday).

Thailand: Pay Sep-5y THB rates at conviction 4/5

We **raised the conviction level on our pay Sep-5y THB to 4/5** from 3 *after the FOMC meeting*, as we see room for Thai rates to underperform owing to their relatively high beta to oil price moves, the pickup in headline and core inflation in recent months and still low 2s5s10s fly compared with Asia peers (such as Korea, Singapore and India).That said, market moves were against us today, and as a result, we set a stop loss level at 1.70%. Separately, we maintain a Sep-5s10s flattener with a conviction level of 3/5. Next week, July inflation data will be released on Thursday, and the market expects both headline and core inflation to rise further from June.

China: Pay Sep-3y NDIRS with moderate conviction 3/5

China rates moved slightly higher into the Politburo meeting, and rallied 2bp yesterday once the event had concluded. There were no surprises from the *Politburo* meeting, but it did indicate a shift to "countercyclical" policies to stabilize growth. On monetary policies, the memo said monetary policy tools will be adjusted at a proper time, but neither a rate cut nor an RRR cut were outrightly mentioned. Today, swap rates did not drop further, which means the market is yet to take a position on near-term monetary easing. That said, the CGB rally continued today, and if market expectations on potential rate/RRR cut start to build (Nomura's base case is no rate/RRR cut in 2026), this would pose a risk to our pay recommendation. We maintain our view that fiscal measures should play a more important role in coming months, and we expect net CGB and LGB supply to rise to RMB1.4-1.5trn in August-September (July: RMB1.05trn), which should limit downside in China rates. We remain **paid in 3y NDIRS with a conviction level of 3/5** into next week's July export (Friday) and inflation data (Sunday).

Australia rates: Hold paid AU 3m1y versus US 3m1y position

We have had multiple surprises this week. Locally, *RBA Governor Bullock's communications* were perceived as being "less hawkish" than expected and *Q2 CPI undershot* consensus and our expectations, weighing on our *paid AU 3m1y versus US 3m1y* position. Later in the week, the FOMC announced an unchanged cash rate, as we expected, and led to a decline in US short-end yields, which helped our position. Fed Chair Warsh's communication also led to US long-end underperformance and a sharply steeper curve. We do not think those long-end concerns should be replicated in Australia, however, and think that the 10y Australia-US bond spread could move into a new lower range (perhaps 15-35bp) with Australian long-end bonds outperforming. We may look for an opportunity to express this view, which, combined with our existing position, would effectively suggest Australian curve flattening relative to US curve steepening. We thought the Australian CPI data were biased downwards by a few volatile components and do not expect the RBA to drop its concerns on inflation, which remains elevated to target. Second-tier data released today reinforce our thinking, with PPI inflation jumping in Q2 and June credit growth exceeding consensus expectations. All up, we remain of the view that the risk of a higher Fed Funds rate is overpriced relative to the risk of a higher RBA cash rate, and remain attracted by the positive roll that comes with our position.

Fig. 4: Our views on Asia and AUD rates

1	2	3	4	5
Watch	Watch Closely	Positioned @ 1/3 desired	Positioned @ 2/3 desired	Positioned @ 100% desired

Asia/AU Rates strategy view	Conviction (0–5)	Comments/trades
Pay Sep-5y THB	4.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Increased conviction to 4/5 on 30 July **Target and timeline:** 2% by mid-September, initiated on 23 July **Trade rationale:** Thai rates correlation to oil price, beta to global yields, low 2s5s10s fly **Risks to trade:** Lower inflation, weak growth, rally in global yields
Sep-5s10s THB flattener	3.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction of 3/5 on 14 July **Target and timeline:** 20bp by end-August, initiated on 14 July **Trade rationale:** Thai rates correlation to oil price, valuation, beta to global yields, bond supply under control **Risks to trade:** Fiscal concerns, weak econ data
Pay Sep-3y China NDIRS	3.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction 3/5 on 14 April **Target and timeline:** 1.60% by end-August, initiated on 14 April **Trade rationale:** Rebound in mm rates, high govt bond supply in Q3, long bond positions already heavy, valuation **Risks to trade:** Weak performance in onshore equities, monetary easing expectation
Pay AU3m1y vs US3m1y	3.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction 3/5 on 3 July **Target and timeline:** 35bp move by end-September **Trade rationale:** Market is mispricing CB outlooks, US data could soften/Australian data improve; positive roll **Risks to trade:** Fed insurance hike; RBA signals hike cycle is over
Dec-1s4s Korea NDIRS steepener	3.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction 3/5 on 9 July **Target and timeline:** 25bp by end-August, initiated on 9 July **Trade rationale:** BOK rate hike pricing, CD fixing stabilized, valuation, positioning **Risks to trade:** Financial stability concerns, hawkish BOK, strong bond inflows at the back end
Receive 5y5y HK IRS vs. SGD	3.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction 3/5 on 17 July **Target and timeline:** 20bp gain by end-September, initiated on 17 July **Trade rationale:** HK: slow non-fin bond iss, stable fiscal reserve, low LTD; SG: robust fundamentals, higher core inflation **Risks to trade:** HK fiscal concerns/larger bond issuance, improvement in econ; SG very flush liquidity
Receive Sep-5y Korea vs. Taiwan (DV01 ratio 1:0.5)	2.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Reduced conviction to 2/5 on 28 July **Target and timeline:** -- **Trade rationale:** Korea: BOK rate hike overpriced, benign bond supply-demand dynamics; Taiwan: high inflation **Risks to trade:** Hawkish BOK, strong recovery in Korea domestic demand, dovish CBC
Receive Dec-1y SORA	2.0 (○ Prev, ● Curr)	**Rationale for last conviction chg:** Initiated with conviction 2/5 on 27 July **Target and timeline:** -- **Trade rationale:** MAS to keep liquidity flush, SORA fixing in 0.8-1.4% range **Risks to trade:** Positioning, valuation

Source: Nomura

Previously, we asked "How much more of a drop in equities (SPX) over the next week would be needed to cause the next 'TACO'?", ***32.1%*** chose "*current levels, due anytime now*", **32.1%** chose "*~10% lower*", **28.6%** chose "*~5% lower*", and **7.1%** chose "*~15% lower*".

Please see Strategy portfolio update (9 July 2026) for our full portfolio.

Fig. 5: Trade ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
**NEW* Long EUR/JPY*	191	end-Sep	3	31-Jul-26
Long EUR/CAD	1.655	end-Sep	3	29-Jul-26
Receive Dec-1y SORA	-	-	2	27-Jul-26
Long SGD/IDR	14,460	end-Oct	4	24-Jul-26
Pay Sep-5y THB	2.00%	mid-Sep	4	23-Jul-26
Receive 5y5y HK IRS vs. SGD	20bp gain	end-Sep	3	17-Jul-26
Short USD/CNH	6.55	end-Oct	4	16-Jul-26
Sep-5s10s THB flattener	20bp gain	end-Aug	3	14-Jul-26
Dec-1s4s Korea NDIRS steepener	25bp gain	end-Aug	3	09-Jul-26
Long EUR/INR	113.0	end-Sep	3	03-Jul-26
Short USD/THB	32.0	end-Sep	3	03-Jul-26
Pay AU3m1y vs US3m1y	35bp move	end-Sep	3	03-Jul-26
Receive Sep-5y Korea vs. Taiwan (DV01 ratio 1:0.5)	-	-	2	26-Jun-26
Short GBP/NZD	2.25	end-Sep	3	26-Jun-26
Long CNH vs 6FX abridged basket	-	-	2	24-Jun-26
Short AUD/NZD	-	-	2	27-May-26
Long 12m USD/HKD	7.8	12-May-27	3	08-May-26
Pay Sep-3y China NDIRS	1.60%	end-Aug	3	14-Apr-26
Long 9m USD/HKD	7.8	27-Oct-26	3	23-Jan-26

Source: Nomura

Fig. 6: Global FX forecasts

		31-Jul	Q3 26	Q4 26	Q1 27	Q4 27
G10						
US Dollar Index	(DXY)	*100.17*	100.20	**98.00**	95.00	**92.70**
Japanese yen	(USD/JPY)	*160.6*	158.0	**154.0**	150.0	**145.0**
Euro	(EUR/JPY)	*184.8*	182	**182**	183	**181**
	(EUR)	*1.15*	1.15	**1.18**	1.22	**1.25**
Swiss Franc	(CHF)	*0.81*	0.79	**0.76**	0.74	**0.72**
	(EUR/CHF)	*0.93*	0.91	**0.90**	0.90	**0.90**
British Pound	(GBP)	*1.35*	1.33	**1.35**	1.36	**1.36**
	(EUR/GBP)	*0.86*	0.86	**0.87**	0.90	**0.92**
Australian Dollar	(AUD)	*0.70*	0.71	**0.73**	0.75	**0.75**
Canadian Dollar	(CAD)	*1.40*	1.41	**1.40**	1.38	**1.35**
New Zealand Dollar	(NZD)	*0.59*	0.58	**0.60**	0.62	**0.63**
Norwegian Krone	(EUR/NOK)	*10.98*	11.40	**11.50**	11.50	**11.50**
Swedish Krona	(EUR/SEK)	*10.98*	11.10	**11.20**	11.20	**11.20**
Asia						
Chinese Renminbi	(CNH)	*6.74*	6.65	**6.50**	6.45	**6.30**
	(CNY)	*6.75*	6.65	**6.50**	6.45	**6.30**
Hong Kong Dollar	(HKD)	*7.841*	7.820	**7.800**	7.798	**7.790**
Indonesian Rupiah	(IDR)	*18041.0*	17850	**17800**	17725	**17500**
Indian Rupee	(INR)	*95.4*	94.0	**93.0**	92.8	**92.0**
Korean Won	(KRW)	*1432.0*	1550	**1495**	1481	**1440**
Malaysian Ringgit	(MYR)	*4.09*	4.14	**4.13**	4.12	**4.10**
Philippine Peso	(PHP)	*61.3*	60.8	**60.3**	60.1	**59.5**
Singapore Dollar	(SGD)	*1.283*	1.280	**1.255**	1.248	**1.225**
Thai Baht	(THB)	*33.4*	32.9	**32.3**	32.1	**31.3**
Taiwan Dollar	(TWD)	*32.3*	31.3	**30.8**	30.6	**30.0**
CEEMEA						
Turkish Lira	(TRY)	*47.4*	48.8	**51.0**	52.0	**58.0**

Source: Bloomberg, Nomura.

Fig. 7: Rates forecasts

As of 31-Jul		Current	Q3 26	Q4 26	Q1 27	Q2 27	Q3 27	Q4 27
CNY	10y CGB yield	1.71	1.80	1.85	1.90	1.90	2.00	2.00
KRW	10y KTB yield	4.31	4.00	3.80	3.70	3.60	3.60	3.60
TWD	10y TGB yield	1.93	1.75	1.70	1.70	1.70	1.70	1.70
THB	10y ThaiGB yield	2.06	2.00	1.90	1.80	1.80	1.80	1.80
IDR	10y IndoGB yield	7.34	7.00	6.90	6.80	6.80	6.80	6.80
INR	10y IGB yield	6.82	6.90	6.90	7.15	7.15	7.15	7.15
SGD	10y SIGB yield	2.42	2.00	2.00	2.25	2.25	2.25	2.25

Source: Nomura

Appendix A-1

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